



CTO Consulting

DIGITAL TRANSFORMATION SPECIALISTS

OPERATING MODEL ASSESSMENT

Operating Model Assessment Report

Tallowood Water Services

Operating Model Review 2026

DATE	29 Sep 2026
VERSION	0.8
STATUS	Recommendations
PREPARED BY	CTO Consulting engagement lead
PREPARED FOR	Managing Director

COMMERCIAL IN CONFIDENCE

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This report was generated by the CTO Consulting Operating Model Assessment Tool from the assessment data recorded for Tallowood Water Services. Figures reflect the data at 29/09/2026, 8:41:56 pm.

Executive summary

Tallowood Water Services's operating model scores 2.3 out of 5 (Developing) against a target of 3.4, an average gap of 1.2 (Amber). 6 of 17 dimensions are rated Red.

CURRENT MATURITY	TARGET MATURITY	AVERAGE GAP	FINDINGS	AI READINESS
2.3 / 5 Developing	3.4 Design target	1.2 Amber	22 13 open critical/high	21 AI Exploring

The strongest dimensions are Locations & Physical Assets (3.6), Products & Services (2.7) and Risk, Compliance, Security & Resilience (2.6). The largest importance-weighted gaps are in Data, Information & Analytics (gap 2.7), Governance & Decision Rights (gap 1.9), Value Streams & Processes (gap 2.3) and Performance Management & Planning (gap 1.7), which should anchor the target operating model design.

22 findings were logged (3 critical, 10 high, 8 medium, 1 low), 13 of them critical or high and still open. 19 recommendations have been prioritised by value and ease.

The current state comprises 1,285 FTE with an average span of control of 8.1 and up to 7 management layers, 16 applications (2 end of life), 14 suppliers (5 with high dependency risk) and 8 sites, at an annual operating cost of \$213.0m.

AI readiness is 21 out of 100 (AI Exploring), with 0 of 10 responsible AI guardrails in place and 10 AI use cases identified.

The target operating model has a steady-state run cost of \$200.9m (–\$12.1m, –5.7% against the baseline).

Across 9 initiatives the business case shows \$37.1m of costs and \$47.7m of risk-adjusted benefits over 5 years: NPV \$5.2m at 7%, ROI 29%, payback 4.1 years.

Priority areas

- Data, Information & Analytics: current 1.2, target 3.9 — 2 findings, 2 recommendations.
- Governance & Decision Rights: current 1.7, target 3.6 — 2 findings, 2 recommendations.
- Value Streams & Processes: current 1.5, target 3.8 — 2 findings, 2 recommendations.
- Performance Management & Planning: current 2.1, target 3.8 — 1 findings, 1 recommendations.



Top recommendations

ID	Recommendation	Category	Horizon	Cost
R002	Implement a RAPID decision rights model for the 20 key decisions, with a single decider for maintenance prioritisation.	Quick win	0–3 months	\$60k
R007	Establish data governance: data owners and stewards, critical data elements and quality measures.	Quick win	0–3 months	\$180k
R001	Refresh delegations of authority to align with the structure and risk appetite, devolving investment decisions below \$250k to divisional heads.	Quick win	0–3 months	\$40k
R013	Develop a strategic workforce plan with succession for critical operational roles.	Quick win	0–3 months	\$120k
R015	Develop and test an exit plan for the managed IT services contract ahead of renegotiation.	Quick win	0–3 months	\$90k
R019	Approve an AI policy, provide an enterprise generative AI assistant and launch AI literacy training.	Quick win	0–3 months	\$420k
R008	Remediate asset data and deploy field mobility so data is captured once at source.	Quick win	3–12 months	\$2.6m
R010	Retire the legacy complaints database and implement root-cause analysis in CRM.	Quick win	0–3 months	\$60k

Business case at a glance

INVESTMENT	TOTAL BENEFIT	NPV	ROI	PAYBACK
\$26.3m	\$47.7m	\$5.2m	29%	4.1 yrs
	risk-adjusted	7% discount rate		

Engagement overview

Item	Detail
Client organisation	Tallowood Water Services
Industry / sector	Water utility (state-owned corporation) — demonstration data
Engagement	Operating Model Review 2026
Client sponsor	Managing Director
Engagement lead	CTO Consulting engagement lead
Assessment team	Engagement lead; senior business analyst; organisation design specialist; enterprise architect; AI and data advisor
Period	28 Jul 2026 – 10 Nov 2026
Status	Recommendations

Objectives

- Assess the maturity of the current operating model across all 17 dimensions and identify the root causes of rising cost-to-serve.
- Design a target operating model that delivers the 2030 strategy: digital customer service, network resilience and affordable prices.
- Quantify the costs, benefits, risks and change impacts of moving to the target operating model.
- Assess readiness to adopt AI safely and at scale, and identify priority AI use cases.
- Provide a sequenced, funded implementation roadmap with change management requirements.

Scope

Scope item	Detail
In-scope units	All divisions: Customer & Community, Network Operations, Treatment & Production, Asset Management, Capital Delivery, Corporate Services, Technology & Digital, Strategy & Regulation
In-scope locations	Head office and contact centre (Tallowood), Northern, Southern and Western depots, Riverside and Hilltop treatment plants
Dimensions	All 17 dimensions
Out of scope	Board composition and remuneration; prioritisation of the capital works program; enterprise agreement negotiations
Constraints & assumptions	Regulated price path to 2030 caps operating expenditure growth at CPI; enterprise agreement renegotiation due in 2027; commitment to no forced redundancies.

Hypotheses tested

- Duplicated corporate support roles across divisions add 8–12% to overhead cost.
- Unclear decision rights between Asset Management and Network Operations slow maintenance planning and increase reactive work.
- Legacy customer and billing systems are the main constraint on digital self-service.
- Asset data quality limits predictive maintenance and the adoption of AI.
- Change capacity is saturated: too many concurrent projects dilute delivery and benefits.

Approach and evidence base

17 dimensions synthesised from the Operating Model Canvas (POLISM), McKinsey 7S, the Galbraith Star Model and TOGAF / BIZBOK business architecture. The assessment scored 157 of 157 questions against a five-level maturity model, drawing on 12 stakeholder interviews and 53 documents received (of 69 requested).

Phase	Key activities	Outputs
1. Mobilise	Confirm objectives, scope, sponsor and success criteria. Identify stakeholders, issue the document request and schedule interviews. Agree design principles and assessment settings.	Engagement charter; stakeholder map; document request
2. Discover	Review documents and data; run interviews, workshops and site visits; build the capability, process, organisation, decision rights, application, supplier, location and cost baselines.	Evidence base; current-state inventories and baselines
3. Assess & analyse	Score current and target maturity for every question with evidence and confidence ratings. Identify findings and root causes and validate them with stakeholders.	Maturity profile; validated findings; heat maps
4. Design & recommend	Describe the target state and key shifts for each dimension against the design principles. Develop and prioritise recommendations by value and ease.	Target operating model directions; prioritised recommendations
5. Roadmap & mobilise	Sequence recommendations into horizons, confirm dependencies, owners and indicative costs, and present to the sponsor and executive.	Implementation roadmap; executive presentation

Stakeholders interviewed

Name / role	Business unit	Group	Date
Managing Director	Executive	CEO & Executive Leadership	5 Aug 2026
Board Chair	Board	Board / Chair	10 Aug 2026
Chief Financial Officer	Corporate Services	CFO & Finance	12 Aug 2026
GM Customer & Community	Customer & Community	Business Unit & Operations Leaders	13 Aug 2026
GM Network Operations	Network Operations	Business Unit & Operations Leaders	15 Aug 2026
GM Asset Management	Asset Management	Business Unit & Operations Leaders	16 Aug 2026
Chief Information Officer	Technology & Digital	CIO, Technology & Data	18 Aug 2026
Chief People Officer	Corporate Services	CHRO & People	19 Aug 2026
Chief Risk Officer	Strategy & Regulation	CRO, Risk, Compliance & Audit	20 Aug 2026
Procurement Manager	Corporate Services	Procurement & Supplier Management	25 Aug 2026
Depot Manager (North)	Network Operations	Team Leaders & Frontline Staff	27 Aug 2026
Contact Centre Team Leader	Customer & Community	Team Leaders & Frontline Staff	30 Aug 2026

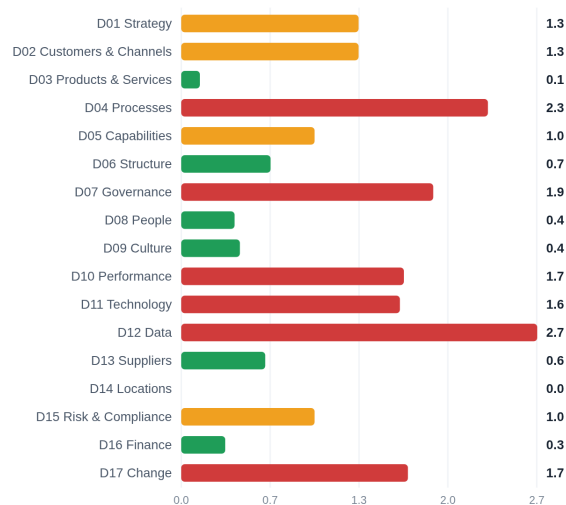
Operating model design principles

Principle	Rationale	Implications	Status
Customer first	Customers fund the business through regulated prices and expect easy, reliable service.	Design journeys end to end from the customer perspective; measure experience, not just activity.	Agreed
Standardise unless differentiating	Variation across depots and divisions adds cost, risk and complexity without adding customer value.	Common processes and systems across units; local variation requires a documented case.	Agreed
Digital by default	Customers and staff expect digital channels; manual processing is costly and error-prone.	Self-service first, assisted channels for complex and vulnerable customers; automate rules-based work.	Agreed
Single point of accountability	Shared accountability slows decisions and obscures ownership of outcomes.	One decider per key decision; end-to-end owners for value streams and assets.	Agreed
Data is an asset	Asset, customer and operational decisions depend on trusted data.	Named data owners; data captured once at source; data quality measured.	Agreed
Lean spans and layers	Narrow spans and deep hierarchies slow decisions and add cost.	Spans within benchmark for the nature of work; no more than five layers below the Managing Director.	Agreed

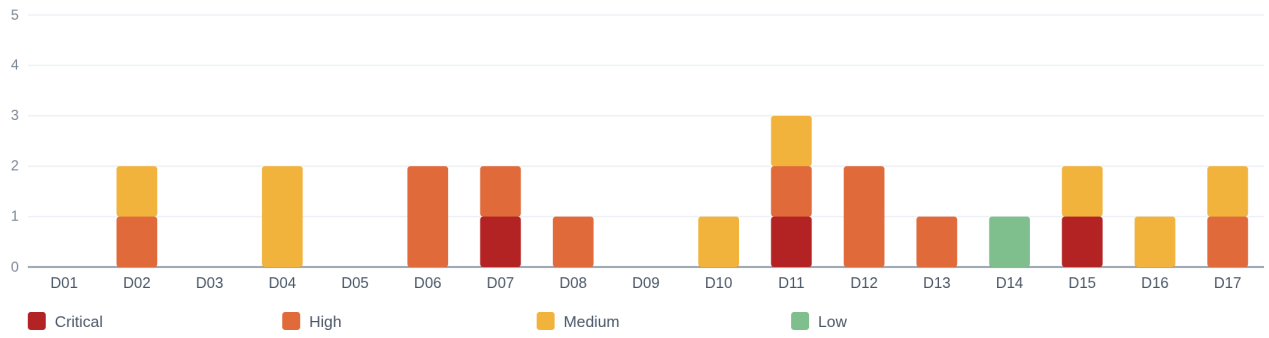
Principle	Rationale	Implications	Status
Safety and resilience are non-negotiable	Public health and worker safety are licence-to-operate obligations.	Design choices must maintain or improve safety, drinking water quality and resilience.	Proposed

Operating model maturity profile

Overall current maturity is 2.3 (Developing) against a target of 3.4. Gaps are rated Red at 1.5 or more and Amber from 0.75. Priority index = average importance-weighted shortfall.



Code	Dimension	Scored	Current	Target	Gap	Priority	RAG	Findings	Recs
D01	Strategy & Direction	9/9	2.6	3.9	1.3	3.6	Amber	0	0
D02	Customers, Channels & Value Proposition	9/9	2.4	3.8	1.3	3.1	Amber	2	2
D03	Products & Services	8/8	2.7	2.9	0.1	0.3	Green	0	0
D04	Value Streams & Processes	10/10	1.5	3.8	2.3	4.3	Red	2	2
D05	Business Capabilities	8/8	1.9	2.9	1.0	2.0	Amber	0	0
D06	Organisation Structure & Roles	9/9	2.2	2.9	0.7	1.3	Green	2	2
D07	Governance & Decision Rights	9/9	1.7	3.6	1.9	4.7	Red	2	2
D08	People, Workforce & Skills	10/10	2.5	2.9	0.4	0.6	Green	1	1
D09	Culture, Leadership & Behaviours	9/9	2.2	2.7	0.4	0.8	Green	0	0
D10	Performance Management & Planning	9/9	2.1	3.8	1.7	4.1	Red	1	1
D11	Technology & Applications	11/11	2.3	3.9	1.6	4.0	Red	3	3
D12	Data, Information & Analytics	9/9	1.2	3.9	2.7	6.4	Red	2	2
D13	Suppliers, Partners & Sourcing	8/8	2.4	3.0	0.6	1.4	Green	1	1
D14	Locations & Physical Assets	8/8	3.6	3.6	0.0	0.0	Green	1	1
D15	Risk, Compliance, Security & Resilience	12/12	2.6	3.6	1.0	2.1	Amber	2	1
D16	Finance, Funding & Cost Model	9/9	2.6	2.9	0.3	0.7	Green	1	0
D17	Change, Transformation & Continuous Improvement	10/10	2.2	3.9	1.7	3.9	Red	2	1



Assessment by dimension

D01 Strategy & Direction

The organisation's purpose, strategic objectives and the explicit choices the operating model must enable. Key question: Is it clear what the operating model must deliver, and are the strategic choices explicit?

Current 2.6 (Defined) · target 3.9 · gap 1.3 (Amber) · 0 findings · 0 recommendations

OBSERVATIONS

- Purpose & vision: 2030 strategy is well articulated but objectives are not prioritised and trade-offs are implicit.
- Strategic objectives: Business unit plans reference the strategy but do not trace objectives to budgets or the project portfolio.

Strengths	Largest gaps
D01.04 External environment (4) D01.05 Design principles (3) D01.07 Strategy communication (3)	D01.02 Strategic objectives (2 → 4) D01.03 Strategic choices (2 → 4) D01.06 Strategy to execution (2 → 4)

TARGET STATE

Prioritised objectives with measures and explicit trade-offs, cascaded into divisional plans, budgets and the portfolio.

D02 Customers, Channels & Value Proposition

Who the organisation serves, what value it offers each segment, and how customers access and experience its services. Key question: Does the organisation understand and consistently deliver what its customers value, through the right channels?

Current 2.4 (Developing) · target 3.8 · gap 1.3 (Amber) · 2 findings · 2 recommendations

OBSERVATIONS

- Value proposition: No agreed customer segmentation beyond residential / non-residential; vulnerable customers are not identified consistently.
- Service standards: Complaints data is captured in two systems and not analysed for root causes.
- Accessibility & inclusion: Digital self-service is limited to bill payment; 71% of contacts are by phone.

Strengths	Largest gaps
D02.01 Customer segments (3) D02.04 Channel strategy (3) D02.06 Voice of customer (3)	D02.08 Customer insight (2 → 4) D02.02 Value proposition (1 → 3) D02.03 Customer journeys (2 → 3)

TARGET STATE

Segmented customer propositions, digital-first channels for routine needs and closed-loop voice of customer.

D03 Products & Services

The portfolio of products and services the organisation delivers, and how that portfolio is owned, managed and evolved. Key question: Is the portfolio of products and services clear, owned and actively managed for value?

Current 2.7 (Defined) · target 2.9 · gap 0.1 (Green) · 0 findings · 0 recommendations

OBSERVATIONS

- Portfolio performance: The service catalogue is incomplete for trade waste and recycled water services.

Strengths	Largest gaps
D03.01 Service catalogue (3) D03.03 Product ownership (3) D03.04 Lifecycle management (3)	D03.02 Portfolio performance (2 → 3)

D04 Value Streams & Processes

The end-to-end value streams and business processes through which work flows to deliver outcomes. Key question: Does work flow efficiently, consistently and under control from trigger to outcome?

Current 1.5 (Developing) · target 3.8 · gap 2.3 (Red) · 2 findings · 2 recommendations

OBSERVATIONS

- Value streams: Work order processes differ across the three depots with no end-to-end owner.
- Process architecture: High-volume billing exceptions are handled manually (approx. 4,000 per month).
- Process ownership: Hand-offs between Asset Management, Network Operations and Capital Delivery average six per maintenance job.

Strengths	Largest gaps
D04.08 Process performance (3)	D04.01 Value streams (1 → 4) D04.02 Process architecture (1 → 4) D04.05 Standardisation (1 → 4)

TARGET STATE

End-to-end value stream owners, standard work management across depots and automated billing exceptions.

D05 Business Capabilities

What the organisation must be able to do (independent of how), and the maturity of those abilities across people, process, technology and information. Key question: Does the organisation have the capabilities its strategy needs, and is investment focused on the right ones?

Current 1.9 (Developing) · target 2.9 · gap 1.0 (Amber) · 0 findings · 0 recommendations

OBSERVATIONS

- Strategic importance: A capability map was drafted in 2023 but is not used for investment decisions.
- Investment alignment: Asset investment planning and data analytics capabilities are critical and immature.

Strengths	Largest gaps
D05.03 Capability maturity (3)	D05.01 Capability map (1 → 3) D05.05 Investment alignment (2 → 3) D05.08 Capability sourcing (2 → 3)

D06 Organisation Structure & Roles

How people and work are grouped, the reporting lines, spans and layers, and the clarity of roles and accountabilities. Key question: Is the structure aligned to strategy, lean, and clear about who is accountable for what?

Current 2.2 (Developing) · target 2.9 · gap 0.7 (Green) · 2 findings · 2 recommendations

OBSERVATIONS

- Layers: Average span of control is 8.1 overall; operational units sit below the 11–15 benchmark for operational work.
- Centralisation vs devolution: Network Operations has seven management layers, exceeding the agreed maximum of six.
- Shared services & CoEs: Finance, HR and procurement roles are duplicated in every division (about 46 FTE).

Strengths	Largest gaps
D06.04 Centralisation vs devolution (3) D06.06 Role clarity (3) D06.07 Duplication & shadow functions (3)	D06.05 Shared services & CoEs (1 → 3) D06.03 Layers (2 → 3) D06.01 Structural archetype (2 → 3)

TARGET STATE

Federated hub-and-spoke structure, maximum five layers, spans within benchmark, Shared Services Centre and Data & AI CoE.

D07 Governance & Decision Rights

The bodies, delegations, policies and decision rights that direct and control the organisation. Key question: Are decisions made by the right people, at the right level, in a timely and accountable way?

Current 1.7 (Developing) · target 3.6 · gap 1.9 (Red) · 2 findings · 2 recommendations

OBSERVATIONS

- Committee effectiveness: Seven executive-level committees with overlapping terms of reference.
- Delegations of authority: Delegations of authority have not been updated since the 2021 restructure.
- Decision speed: Maintenance prioritisation decisions have no single decider between Asset Management and Network Operations.

Strengths	Largest gaps
D07.04 Decision rights (3)	D07.01 Governance framework (1 → 4) D07.07 Board & executive oversight (1 → 4) D07.08 Three lines (2 → 4)

TARGET STATE

Streamlined committee structure, refreshed delegations and a RAPID model with one decider per key decision.

D08 People, Workforce & Skills

The size, mix, skills, capacity and management of the workforce needed to deliver the operating model. Key question: Does the organisation have the right people, with the right skills, in the right numbers, at the right cost?

Current 2.5 (Defined) · target 2.9 · gap 0.4 (Green) · 1 findings · 1 recommendations

OBSERVATIONS

- Workforce planning: No strategic workforce plan; 31% of the operational workforce is eligible to retire within 10 years.
- Workforce mix: Critical roles (treatment operators, SCADA engineers) lack succession cover.

Strengths	Largest gaps
D08.01 Workforce planning (3) D08.02 Workforce mix (3) D08.03 Capacity & demand (3)	D08.08 Reward & recognition (2 → 3) D08.10 Employee engagement (2 → 3) D08.04 Skills & capability (2 → 3)

D09 Culture, Leadership & Behaviours

The shared values, leadership style and everyday behaviours that determine how work actually gets done. Key question: Do culture and leadership enable, or undermine, the intended operating model?

Current 2.2 (Developing) · target 2.7 · gap 0.4 (Green) · 0 findings · 0 recommendations

OBSERVATIONS

- Accountability: Strong safety culture and pride in service; collaboration across divisions is weak.
- Collaboration: Engagement survey shows low confidence in leadership communication of change (41% favourable).

Strengths	Largest gaps
D09.02 Culture diagnosis (3) D09.08 Risk culture (3)	D09.03 Leadership capability (2 → 3) D09.04 Accountability (2 → 3) D09.05 Collaboration (2 → 3)

D10 Performance Management & Planning

How the organisation plans, sets targets, measures performance and uses information to steer. Key question: Does the organisation know how it is performing and act on that information?

Current 2.1 (Developing) · target 3.8 · gap 1.7 (Red) · 1 findings · 1 recommendations

OBSERVATIONS

- Planning cycle: KPIs are predominantly regulatory and financial; customer and efficiency measures are limited.
- KPI framework: Monthly reporting takes eight working days to compile manually from spreadsheets.

Strengths	Largest gaps
D10.02 KPI framework (3) D10.08 Performance data (3) D10.09 External reporting (3)	D10.06 Target setting (1 → 4) D10.01 Planning cycle (1 → 3) D10.05 Performance forums (2 → 4)

D11 Technology & Applications

The applications, infrastructure, architecture and technology operating model that enable the business. Key question: Is technology fit for purpose today, and an enabler rather than a constraint for the future?

Current 2.3 (Developing) · target 3.9 · gap 1.6 (Red) · 3 findings · 3 recommendations

OBSERVATIONS

- Technology strategy: Customer information and billing system is 19 years old and out of vendor support in 2027.
- Application portfolio: Integration is point to point (140+ interfaces) with no integration platform.
- IT service management: Staff are using consumer generative AI tools without an approved enterprise alternative.

Strengths	Largest gaps
D11.01 Technology strategy (3) D11.05 Infrastructure & cloud (3) D11.08 IT service management (3)	D11.04 Technical debt (2 → 4) D11.06 Integration (2 → 4) D11.07 IT operating model (2 → 4)

TARGET STATE

SaaS customer platform, integration layer, cloud-first hosting and an enterprise AI assistant under AI governance.

D12 Data, Information & Analytics

How data and information are governed, managed, protected and used to generate insight. Key question: Is data trusted, protected and used as an asset for decision making?

Current 1.2 (Initial) · target 3.9 · gap 2.7 (Red) · 2 findings · 2 recommendations

OBSERVATIONS

- Data governance: Asset register completeness is estimated at 72%; condition data is unreliable for pipes under 150mm.
- Privacy: No data owners have been appointed; three versions of the customer count are reported.
- Classification & protection: Data is not ready for predictive maintenance or AI use cases.

Strengths	Largest gaps
—	D12.06 Records management (1 → 4) D12.07 Privacy (1 → 4) D12.09 AI & data readiness (1 → 4)

TARGET STATE

Data owners and stewards for every domain, measured quality for critical data and AI-ready data foundations.

D13 Suppliers, Partners & Sourcing

The external organisations the operating model relies on, and how they are selected, contracted, managed and governed. Key question: Are external dependencies deliberate, well managed and resilient?

Current 2.4 (Developing) · target 3.0 · gap 0.6 (Green) · 1 findings · 1 recommendations

OBSERVATIONS

- Sourcing strategy: Managed IT services contract (single source) has no tested exit plan.
- Supplier register: Civil maintenance panel performance is not measured against service levels.

Strengths	Largest gaps
D13.02 Supplier register (3) D13.04 Supplier performance (3) D13.07 Partnerships & ecosystem (3)	D13.05 Concentration & dependency (2 → 3) D13.01 Sourcing strategy (2 → 3) D13.03 Contract management (2 → 3)

D14 Locations & Physical Assets

Where work is performed, the property and physical assets used, and the workplace model. Key question: Is the physical footprint aligned to customers, talent, cost and resilience needs?

Current 3.6 (Managed) · target 3.6 · gap 0.0 (Green) · 1 findings · 1 recommendations

OBSERVATIONS

- Location footprint: Head office utilisation averages 48% since hybrid work was introduced.
- Workplace model: Southern depot lease expires within 12 months with no decision on renewal.

Strengths	Largest gaps
D14.01 Location footprint (4) D14.03 Space utilisation (4) D14.04 Property costs & leases (4)	—

D15 Risk, Compliance, Security & Resilience

How the organisation identifies and manages risk, meets its obligations, protects information and remains resilient. Key question: Is the organisation operating within its risk appetite and meeting its obligations, and can it withstand disruption?

Current 2.6 (Defined) · target 3.6 · gap 1.0 (Amber) · 2 findings · 1 recommendations

OBSERVATIONS

- Risk management framework: Risk framework is sound; operational risk registers are updated inconsistently.
- Compliance management: Essential Eight maturity is level 1 for most strategies against a target of level 2.
- Control environment: Critical operations have not been mapped with impact tolerances.

Strengths	Largest gaps
D15.11 Fraud & integrity (4) D15.04 Obligations register (3) D15.06 Control environment (3)	D15.01 Risk management framework (2 → 4) D15.02 Risk appetite (2 → 4) D15.03 Risk registers (2 → 4)

TARGET STATE

Essential Eight maturity level 2 and critical operations mapped with tested impact tolerances.

D16 Finance, Funding & Cost Model

The cost base, funding model, budgeting and financial controls that resource the operating model. Key question: Is the cost of the operating model understood, affordable and directed at the highest-value activity?

Current 2.6 (Defined) · target 2.9 · gap 0.3 (Green) · 1 findings · 0 recommendations

OBSERVATIONS

- Cost baseline: Costs are reported by cost centre only; cost-to-serve by customer segment is unknown.
- Funding model: Budgeting is incremental and business cases do not include benefits baselines.

Strengths	Largest gaps
D16.01 Cost baseline (3) D16.02 Cost-to-serve (3) D16.03 Cost structure (3)	D16.05 Funding model (2 → 3) D16.07 Investment governance (2 → 3) D16.08 Financial controls (2 → 3)

D17 Change, Transformation & Continuous Improvement

The organisation's ability to prioritise, deliver and embed change and to improve continuously. Key question: Can the organisation move from its current to its target operating model and sustain the change?

Current 2.2 (Developing) · target 3.9 · gap 1.7 (Red) · 2 findings · 1 recommendations

OBSERVATIONS

- Delivery performance: 43 concurrent projects compete for the same subject-matter experts.
- Benefits realisation: Benefits are not tracked after project close; no change management method is applied consistently.

Strengths	Largest gaps
D17.02 Delivery methodology (3) D17.07 Business analysis (3)	D17.01 Portfolio management (2 → 4) D17.10 Lessons learned (2 → 4) D17.03 Delivery performance (2 → 4)

TARGET STATE

Capacity-based portfolio prioritisation, standard change management and benefits tracked beyond project close.

Key findings

CRITICAL FINDINGS

3

HIGH FINDINGS

10

MEDIUM FINDINGS

8

LOW FINDINGS

1

VALIDATED

20/22

ID	Dimension	Finding	Root cause	Impact	Severity
F002	Governance	No single decider for maintenance prioritisation between Asset Management and Network Operations.	Accountabilities split in the 2021 restructure without a decision rights model	Reactive maintenance at 58% of work orders; repeated re-planning	Critical
F005	Technology	The customer information and billing system is 19 years old, heavily customised and exits vendor support in 2027.	Deferred investment decisions	Limits digital self-service; rising support cost and operational risk	Critical
F017	Risk & Compliance	Essential Eight maturity is level 1 for six of eight strategies against a target of level 2.	Under-investment; legacy platforms	Elevated cyber risk to customer data and operational technology	Critical
F001	Governance	Investment decisions below \$250k are escalated to the Executive Committee, adding four to six weeks to minor change.	Delegations not updated since the 2021 restructure	Slower delivery of minor change; executive time spent on low-value decisions	High
F003	Structure	Average span of control is 8.1, and operational units sit below the 11–15 benchmark for operational work; 41 managers in Network Operations.	Organic growth of team leader roles; roles created to reward tenure	Higher management cost (est. \$3.1m) and slower decisions	High
F004	Structure	About 46 FTE of finance, HR and procurement work is performed in divisions, duplicating Corporate Services.	Low trust in central service levels	Duplicated cost; inconsistent practices and data	High
F007	Data	Asset register completeness is about 72%; condition data for small mains is unreliable.	No data ownership; data captured on paper in the field	Investment decisions based on age not condition; predictive maintenance pilot stalled	High
F008	Data	No data owners or stewards appointed; three different customer counts are reported.	No data governance framework	Reporting errors and rework; low trust in data	High
F009	Customers & Channels	71% of customer contacts are by phone; digital self-service is limited to bill payment.	Legacy billing platform; no channel strategy	High cost-to-serve; customer effort	High
F013	People	No succession cover for treatment operators and SCADA engineers; 31% of operational staff can retire within 10 years.	No strategic workforce plan	Operational continuity and compliance risk	High
F015	Suppliers	The managed IT services provider is single source with no tested exit plan.	Exit planning not required in the original contract	Resilience and negotiation risk at renewal	High
F020	Change	43 concurrent projects compete for the same subject-matter experts; delivery performance is poor.	No portfolio prioritisation against capacity	Delays, cost overruns and change fatigue	High
F022	Technology	Staff are using consumer generative AI tools with customer information; no AI policy or approved tools.	No AI governance or enterprise tooling	Privacy and data leakage risk; missed productivity benefits	High
F006	Technology	More than 140 point-to-point interfaces with no integration platform.	Tactical integration on each project	High change cost and fragility; slows new capability	Medium
F010	Customers & Channels	Complaints are recorded in two systems and not analysed for root causes.	Legacy database retained after CRM rollout	Repeat complaints; missed improvement opportunities	Medium
F011	Processes	Work order processes differ across the three depots; no end-to-end process owner.	Depots evolved independently	Variable productivity and data quality	Medium
F012	Processes	About 4,000 billing exceptions a month are handled manually.	Legacy platform rules; no automation capability	Around 9 FTE of manual effort; errors	Medium

ID	Dimension	Finding	Root cause	Impact	Severity
F014	Performance	Monthly management pack takes eight working days to compile manually.	No reporting platform; spreadsheets	Late, error-prone information for decisions	Medium
F018	Risk & Compliance	Critical operations have not been mapped with impact tolerances.	Resilience program focuses on IT recovery only	Unknown ability to withstand severe disruption	Medium
F019	Finance	Costs are reported by cost centre only; cost-to-serve by customer segment and service is unknown.	No activity-based costing	Cannot target efficiency or inform pricing	Medium
F021	Change	Benefits are not tracked after project close.	No benefits framework or owners	Investment value not demonstrated	Medium
F016	Locations	Head office utilisation averages 48% since hybrid work was introduced.	Footprint not reviewed after hybrid work	About \$1.1m a year of under-used space	Low

Current-state analysis

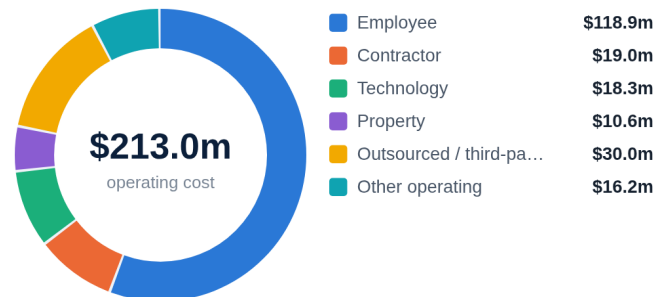
Organisation structure

TOTAL FTE 1,285	PEOPLE MANAGERS 146	AVERAGE SPAN 8.1	DEEPEST LAYERS 7 max 6	CONTRACTOR & 17%
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Business unit	Nature of work	FTE	Managers	Layers	Span	Benchmark	Span assessment	Employee cost
Customer & Community	Standardised / operational	210	19	6	9.8	11–15	Below range	\$18.9m
Network Operations	Standardised / operational	385	41	7	8.3	11–15	Below range	\$34.2m
Treatment & Production	Mixed / professional	160	17	6	8.9	8–10	Within range	\$15.8m
Asset Management	Specialist / complex	118	16	6	7.3	5–7	Above range	\$12.6m
Capital Delivery	Mixed / professional	114	13	5	8.7	8–10	Within range	\$10.4m
Corporate Services	Mixed / professional	142	22	6	6.2	8–10	Below range	\$13.1m
Technology & Digital	Specialist / complex	125	12	5	8.3	5–7	Above range	\$9.8m
Strategy & Regulation	Specialist / complex	31	6	4	5.0	5–7	Within range	\$4.1m

Applications

16 applications costing \$5.7m a year; 2 are end of life and 1 reach end of support within 180 days. TIME: Invest 7, Tolerate 1, Migrate 5, Eliminate 3.



Suppliers

14 suppliers with \$29.6m annual spend; 5 carry high dependency risk and 5 material service providers lack a complete exit plan. 3 renewal decisions are due.

Supplier	Segment	Spend	Contract end	Dependency risk	Exit plan
Managed IT services provider	Strategic	\$3.2m	6 Jun 2027	High	Partial
Civil maintenance panel (4 contractors)	Strategic	\$8.6m	22 Mar 2028	Low	Yes
Treatment chemicals supplier	Bottleneck	\$2.1m	29 Aug 2028	High	No
Laboratory testing services	Strategic	\$640k	14 Oct 2027	High	Partial

Supplier	Segment	Spend	Contract end	Dependency risk	Exit plan
Billing system vendor	Bottleneck	\$950k	23 Nov 2027	High	No
Public cloud provider	Strategic	\$720k	11 Jan 2030	Medium	Partial
Mail house and print	Non-critical	\$380k	28 Dec 2026	High	No

Locations and cost baseline

8 sites costing \$8.7m a year with average utilisation of 61%. The annual operating cost baseline is \$213.0m (1,285 FTE, \$165,759 per FTE), of which 6.5% is change spend.

Business unit	Employee	Contractor	Technology	Property	Outsourced / third-party	Other operating	Total
Customer & Community	\$18.9m	\$1.3m	\$2.6m	\$1.1m	\$3.9m	\$900k	\$28.7m
Network Operations	\$34.2m	\$2.9m	\$1.9m	\$1.6m	\$12.8m	\$6.1m	\$59.5m
Treatment & Production	\$15.8m	\$700k	\$1.2m	\$1.5m	\$3.2m	\$5.6m	\$28.0m
Asset Management	\$12.6m	\$2.4m	\$1.4m	\$600k	\$900k	\$700k	\$18.6m
Capital Delivery	\$10.4m	\$4.6m	\$500k	\$400k	\$3.4m	\$500k	\$19.8m
Corporate Services	\$13.1m	\$1.5m	\$1.1m	\$4.7m	\$1.3m	\$1.6m	\$23.3m
Technology & Digital	\$9.8m	\$5.2m	\$9.4m	\$500k	\$4.2m	\$300k	\$29.4m
Strategy & Regulation	\$4.1m	\$400k	\$200k	\$200k	\$300k	\$500k	\$5.7m

Decision rights and capabilities

21 of 21 key decisions were mapped using RAPID; 5 have no single decider or multiple deciders, and decisions take 30 days on average. 56 of 56 business capabilities were assessed.

Capability	Level 1	Importance	Current	Target	Priority score
Change management	Portfolio & Change	High	1	4	9
Intake & onboarding	Channel & Access Management	High	1	4	9
Service fulfilment	Service Delivery & Operations	High	1	4	9
Financial planning & analysis	Finance	High	1	4	9
Workforce planning	People	High	1	4	9
Digital, automation & AI	Technology	High	1	4	9
Data governance	Data & Information	High	1	4	9
Data management & integration	Data & Information	High	1	4	9
Analytics & reporting	Data & Information	High	1	4	9
Business continuity management	Legal & Corporate Services	High	1	4	9

AI readiness

AI READINESS INDEX

21

target 61

READINESS LEVEL

L2

AI Exploring

GUARDRAILS IN PLACE

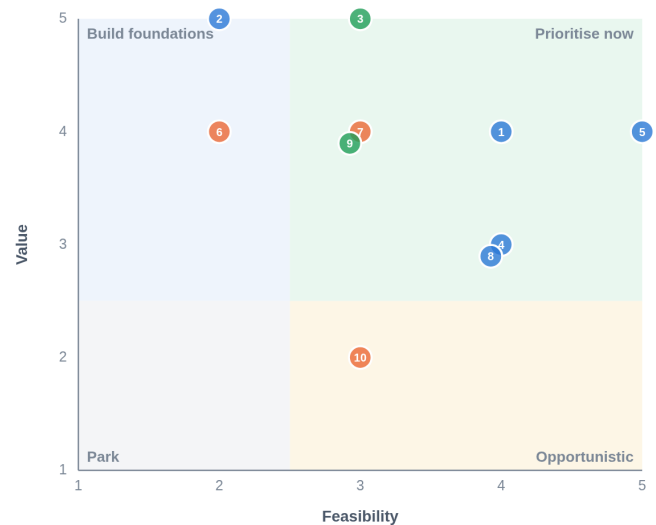
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AI USE CASES

10

\$5.8m benefit

Level 2 — AI Exploring: Early pilots and pockets of capability. Foundations such as data, policy, platforms and skills are incomplete, so pilots rarely scale.



Pillar	Current	Target	Gap	Level
Strategy & Leadership	2.7	3.8	1.2	AI Operational
Use Cases & Value	1.7	3.5	1.8	AI Aware
Data Foundations	1.5	3.3	1.8	AI Aware
Technology & Platforms	2.3	3.7	1.3	AI Exploring
People, Skills & Culture	2.0	3.3	1.3	AI Exploring
Governance, Ethics & Responsible AI	1.2	3.2	2.0	AI Aware
Security, Risk & Compliance	2.2	3.7	1.5	AI Exploring
Operating Model & Delivery	1.2	3.2	2.0	AI Aware

AI use cases

ID	Use case	AI type	Value	Feasibility	Risk tier	Recommendation	Benefit
UC01	Contact centre agent assist	Generative AI assistant / copilot	4	4	Limited	Prioritise now	\$620k
UC02	Predictive maintenance for pumps	Predictive analytics / machine learning	5	2	Limited	Build foundations	\$1.4m
UC03	Burst and leak detection	Predictive analytics / machine learning	5	3	Minimal	Prioritise now	\$1.1m
UC04	Billing exception triage	Intelligent automation (RPA + AI)	3	4	Limited	Prioritise now	\$520k
UC05	Enterprise AI assistant	Generative AI assistant / copilot	4	5	Limited	Prioritise now	\$900k
UC06	Hardship and vulnerability	Predictive analytics / machine	4	2	High	Build foundations	\$300k

ID	Use case	AI type	Value	Feasibility	Risk tier	Recommendation	Benefit
	identification	learning					
UC07	Water quality anomaly alerts	Predictive analytics / machine learning	4	3	High	Prioritise now	\$250k
UC08	Contract and tender analysis	Natural language processing	3	4	Limited	Prioritise now	\$180k
UC09	Pipe condition from CCTV	Computer vision	4	3	Minimal	Prioritise now	\$460k
UC10	Automated recruitment shortlisting	Recommendation / optimisation	2	3	High	Opportunistic	\$90k

Responsible AI guardrails

#	Guardrail	Status	Owner
G01	Accountability: Establish, implement and publish an accountability process including governance, internal capability and a strategy for regulatory compliance.	In progress	Chief Information Officer
G02	Risk management: Establish and implement a risk management process to identify and mitigate risks.	Not started	Chief Information Officer
G03	Data governance & security: Protect AI systems, and implement data governance measures to manage data quality and provenance.	Planned	Chief Information Officer
G04	Testing & monitoring: Test AI models and systems to evaluate model performance and monitor the system once deployed.	Not started	Chief Risk Officer
G05	Human oversight: Enable human control or intervention in an AI system to achieve meaningful human oversight.	Planned	Chief Risk Officer
G06	Transparency to users: Inform end-users regarding AI-enabled decisions, interactions with AI and AI-generated content.	Not started	Chief Risk Officer
G07	Contestability: Establish processes for people impacted by AI systems to challenge use or outcomes.	Not started	Chief Risk Officer
G08	Supply chain transparency: Be transparent with other organisations across the AI supply chain about data, models and systems to help them effectively address risks.	Not started	Chief Risk Officer
G09	Records: Keep and maintain records to allow third parties to assess compliance with guardrails.	Not started	Chief Risk Officer
G10	Stakeholder engagement: Engage stakeholders and evaluate their needs and circumstances, with a focus on safety, diversity, inclusion and fairness.	Planned	Chief Risk Officer

AI action plan

GOVERNANCE, ETHICS & RESPONSIBLE AI · FOUNDATION · 0–3 MONTHS

- Approve an AI policy and generative AI acceptable-use standard.
- Create an inventory of AI systems in use, including vendor-embedded AI.
- Establish an AI governance forum with clear decision rights and risk acceptance.

OPERATING MODEL & DELIVERY · FOUNDATION · 0–3 MONTHS

- Define an initial AI operating model: a small enabling hub with business champions.
- Agree a standard AI delivery lifecycle with stage gates proportional to risk.

DATA FOUNDATIONS · FOUNDATION · 0–3 MONTHS

- Identify the critical data domains for priority use cases and appoint data owners.
- Measure data quality for those domains and start remediation.
- Complete privacy impact assessments for data proposed for AI use.

USE CASES & VALUE · FOUNDATION · 0–3 MONTHS

- Run use-case discovery workshops across business units and create a single AI use-case register.
- Adopt a simple value / feasibility / risk scoring model to select two or three lighthouse pilots.

SECURITY, RISK & COMPLIANCE · FOUNDATION · 0–3 MONTHS

- Add AI threats (prompt injection, data leakage) to the security threat model.

- Update procurement and third-party risk questionnaires for AI features and data use.
- Map AI-relevant obligations into the obligations register.

PEOPLE, SKILLS & CULTURE · FOUNDATION · 0–3 MONTHS

- Launch mandatory AI literacy and safe-use training for all staff.
- Assess current specialist AI skills and gaps against SFIA or a similar framework.

TECHNOLOGY & PLATFORMS · FOUNDATION · 0–3 MONTHS

- Provide an approved, secured enterprise AI assistant to reduce shadow AI.
- Confirm the cloud landing zone and data residency position for AI services.

STRATEGY & LEADERSHIP · ESTABLISH · 3–12 MONTHS

- Publish an AI strategy linked to corporate objectives, with a multi-year investment envelope.
- Define an AI value scorecard and baseline measures for priority domains.

Target operating model

A customer-focused, digitally enabled water utility that delivers safe, reliable services at the lowest sustainable cost — organised around end-to-end value streams, supported by shared services and trusted data, and able to adopt AI safely.

Structural archetype: Hub-and-spoke (federated)

Divisions retain accountability for service delivery (spokes) while common standards, platforms, data, shared services and centres of excellence sit in the hub. This balances local responsiveness in depots and plants with the consistency and scale the price path requires.

When it fits	Strengths	Watch-outs
Common standards and platforms are needed while business units retain local delivery.	Consistency with local responsiveness; scalable capability building.	Requires clear decision rights and funding rules between hub and spokes.

Operating Model Canvas

Element	Current state	Target state	Key shifts
Value proposition & customers	Residential and business customers served through phone-first channels; limited segmentation; service standards set by regulation.	Segmented propositions (including vulnerable customers), digital-first self-service for routine needs and proactive communication on outages.	Phone-first → digital-first with assisted support; reactive → proactive service
Value delivery chains & processes	Processes owned within divisions; hand-offs between asset planning, operations and capital delivery; high manual effort.	Four end-to-end value streams (Customer, Asset lifecycle, Water supply, Capital delivery) with end-to-end owners and standard, automated processes.	Functional fragments → owned value streams; manual → automated
Organisation & people	Divisional structure, seven layers, average span 7.1, duplicated corporate roles.	Federated model: divisions aligned to value streams, Shared Services Centre and Data & AI CoE; maximum five layers; spans within benchmark.	Deep, duplicated structure → lean, federated structure
Locations & physical assets	Under-used head office, separate contact centre, three depots, co-located data centre.	Consolidated hybrid head office including the contact centre; depots retained; data centre exited to cloud.	Historical footprint → consolidated hybrid footprint
Information & technology	Ageing billing platform, 140+ point-to-point interfaces, poor asset data, no AI governance.	SaaS customer platform, integration layer, governed data platform with owners, enterprise AI assistant and AI use-case pipeline.	Legacy and fragmented → modern, integrated and data-driven
Suppliers & partners	Single-source managed IT services without exit plan; supplier performance not measured.	Segmented supplier portfolio with performance management and tested exit plans for material providers.	Transactional → strategically managed suppliers
Management system	Seven overlapping committees, outdated delegations, incremental budgeting, 43 concurrent projects.	Streamlined governance with RAPID decision rights, balanced KPIs, value-based portfolio management and benefits tracking.	Escalation and incremental budgeting → devolved decisions and value-based portfolio

Target state and key shifts by dimension

Dimension	Target state	Key shifts	Enablers
D01 Strategy & Direction	Prioritised objectives with measures and explicit trade-offs, cascaded into divisional plans, budgets and the portfolio.	Broad aspirations → prioritised, measurable objectives	Strategy refresh; planning cycle redesign
D02 Customers, Channels & Value Proposition	Segmented customer propositions, digital-first channels for routine needs and closed-loop voice of customer.	Phone-first → digital-first; complaints in silos → root-cause insight	Billing platform replacement; CRM uplift
D04 Value Streams & Processes	End-to-end value stream owners, standard work management across depots and automated billing exceptions.	Local variation → standard, automated processes	Field mobility; automation platform

Dimension	Target state	Key shifts	Enablers
D06 Organisation Structure & Roles	Federated hub-and-spoke structure, maximum five layers, spans within benchmark, Shared Services Centre and Data & AI CoE.	Seven layers and duplicated roles → lean, federated structure	Consultation process; role redesign
D07 Governance & Decision Rights	Streamlined committee structure, refreshed delegations and a RAPID model with one decider per key decision.	Escalation and ambiguity → devolved, clear decisions	Risk appetite refresh; system-enforced delegations
D11 Technology & Applications	SaaS customer platform, integration layer, cloud-first hosting and an enterprise AI assistant under AI governance.	Legacy, point-to-point estate → modern, integrated platforms	Integration platform; cloud landing zone; AI policy
D12 Data, Information & Analytics	Data owners and stewards for every domain, measured quality for critical data and AI-ready data foundations.	Unowned data → governed, trusted data	Data governance framework; data platform
D15 Risk, Compliance, Security & Resilience	Essential Eight maturity level 2 and critical operations mapped with tested impact tolerances.	IT recovery focus → tested operational resilience	Cyber uplift funding
D17 Change, Transformation & Continuous Improvement	Capacity-based portfolio prioritisation, standard change management and benefits tracked beyond project close.	43 competing projects → a prioritised, benefits-led portfolio	Portfolio office; benefits framework

Design options appraisal

Option	Strategic alignment (20%)	Customer & service outcomes (20%)	Cost & value for money (15%)	Risk, control & resilience (15%)	Ease & speed of implementation (10%)	Workforce & culture (10%)	Scalability & flexibility (10%)	Weighted	One-off	Run cost	Risk
A. Optimise the current divisional model	2	3	2	3	4	3	2	2.65	\$18.5m	\$142.8m	Low
B. Federated hub-and-spoke with shared services ★ preferred	5	4	4	4	3	3	4	4.00	\$27.9m	\$138.6m	Medium
C. Fully centralised functional model	4	3	5	3	1	2	3	3.20	\$34.2m	\$136.9m	High

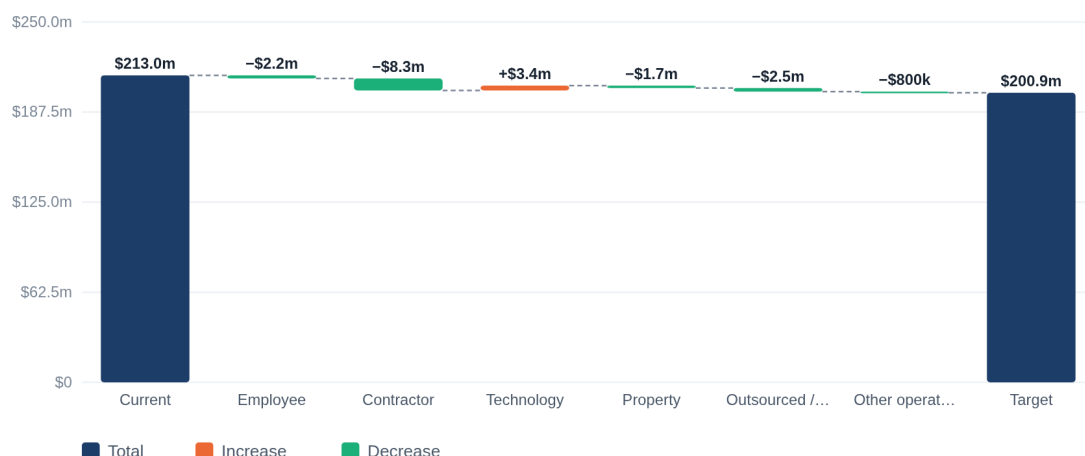
Preferred option: B. Federated hub-and-spoke with shared services. Divisions aligned to value streams; Shared Services Centre and Data & AI CoE in the hub; RAPID decision rights; lean spans and layers. Best balance of benefits and deliverability; recommended.

Current vs target comparison

Measure	Current	Target	Change
Operating model maturity (1–5)	2.3	3.4	+1.1
Annual operating cost	\$213.0m	\$200.9m	–\$12.1m
Total FTE	1,285	1,223	–62
People managers	146	115	–31
Average span of control	8.1	9.7	+1.6
Deepest management layers	7	5	–2
Applications	16	13	–3
Application run cost	\$5.7m	\$5.2m	–\$410k
Suppliers	14	13	–1
Supplier spend	\$29.6m	\$26.3m	–\$3.2m
Sites	8	7	–1
Property cost	\$8.7m	\$6.2m	–\$2.5m
AI readiness index	21	61	+40
High & extreme risks (inherent → residual)	10	1	–9



Costs



Business unit	Current run cost	Target run cost	Change
Customer & Community	\$28.7m	\$25.2m	-\$3.5m
Network Operations	\$59.5m	\$55.3m	-\$4.2m
Treatment & Production	\$28.0m	\$27.4m	-\$600k
Asset Management	\$18.6m	\$17.7m	-\$900k
Capital Delivery	\$19.8m	\$17.4m	-\$2.4m
Corporate Services	\$23.3m	\$16.7m	-\$6.6m
Technology & Digital	\$29.4m	\$27.9m	-\$1.5m
Strategy & Regulation	\$5.7m	\$5.4m	-\$300k
Shared Services Centre	\$0	\$4.2m	\$4.2m
Data & AI Centre of Excellence	\$0	\$3.7m	\$3.7m

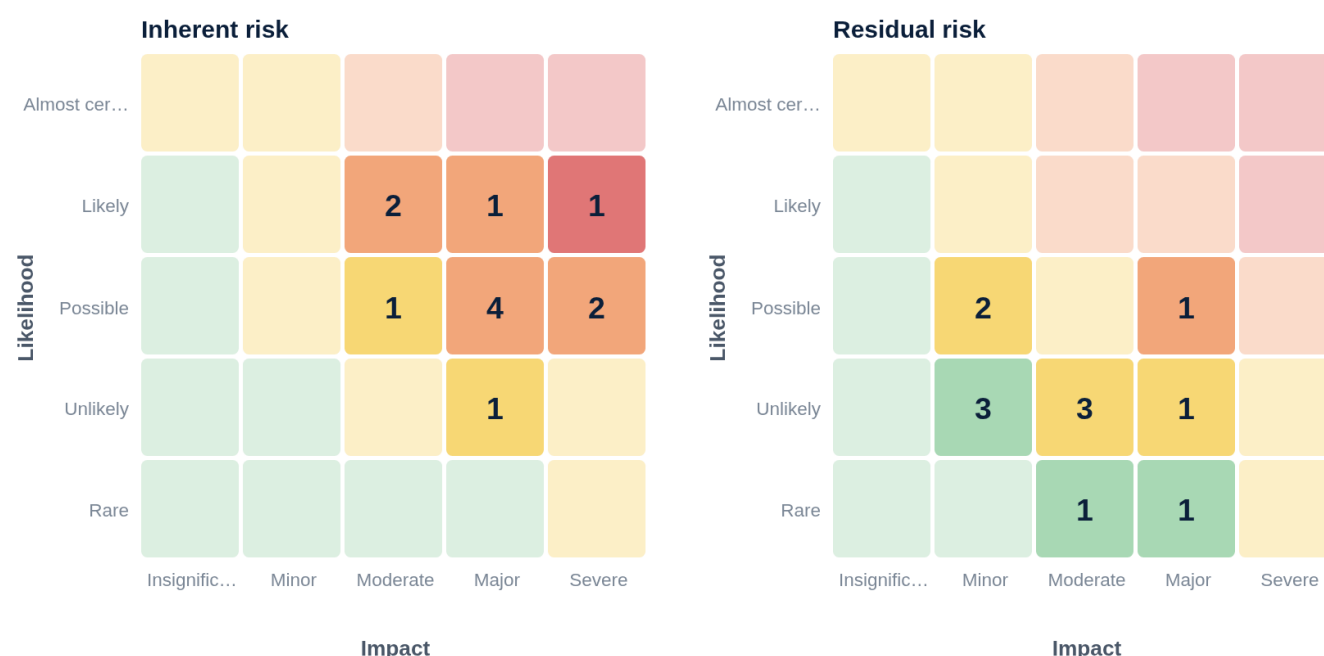
Benefits

Initiatives deliver \$47.7m of risk-adjusted financial benefits over 5 years for \$37.1m of cost: NPV \$5.2m, ROI 29%, payback 4.1 years (FY31).

Benefit measure	Baseline (current)	Target	Owner
Corporate services cost — Removal of duplicated transactional roles	13100000 \$ per year	9400000 \$ per year	Chief Financial Officer
Days to close — Faster month-end close	12 days	5 days	Chief Financial Officer
Calls per year — Reduced contact centre volumes through self-service	410000 calls	300000 calls	GM Customer & Community
Billing platform run cost — Legacy billing licences and support retired	1450000 \$ per year	0 \$ per year	Chief Information Officer
Avoided cost — Avoided extended support and remediation of legacy billing			Chief Information Officer
Customer satisfaction score — Customer satisfaction (digital channels)	68 CSAT	80 CSAT	GM Customer & Community
Reactive share of work orders — Reduced reactive maintenance	58 %	40 %	GM Network Operations
Hours per crew per week — Crew time released from paperwork	5 hours	1.5 hours	GM Network Operations
Deferred capex — Deferred capital from condition-based renewals			GM Asset Management
Days to produce monthly pack — Automated management reporting	8 days	2 days	Chief Financial Officer
Regulatory reporting errors — Single trusted customer count	6 errors per year	0 errors per year	Chief Information Officer

Benefit measure	Baseline (current)	Target	Owner
Average handle time — Contact centre handle time reduced by agent assist	420 seconds	340 seconds	GM Customer & Community
Manual exceptions per month — Billing exceptions automated	4000 exceptions	1200 exceptions	GM Customer & Community
Hours saved per user per week — Staff productivity from enterprise AI assistant	0 hours	2 hours	Chief Information Officer
Staff using unapproved AI tools — Reduced shadow AI and data leakage risk	180 staff	10 staff	Chief Risk Officer
ExCo agenda items per month — Executive time released from low-value decisions	64 items	30 items	Managing Director
People managers — Management cost reduction from delayering	146 managers	115 managers	Chief People Officer
Annual property cost — Property cost savings	9150000 \$ per year	7700000 \$ per year	Chief Financial Officer
Projects delivered within tolerance — Improved delivery performance	45 %	75 %	Managing Director

Risks



Current-state exposure: 10 high, 3 critical, 8 medium, 1 low open findings; 5 high-dependency suppliers; 2 end-of-life applications. Transition and target-state risks: 10 high or extreme before mitigation, 1 after.

Implementation requirements

Category	Requirements	Must have	Complete
People & skills	3	2	0
Organisation & roles	2	2	0
Process	3	1	0
Technology & applications	2	2	0
Data & information	4	3	0
Governance & decision rights	3	3	0
Facilities & locations	1	0	0
Suppliers & partners	2	2	0

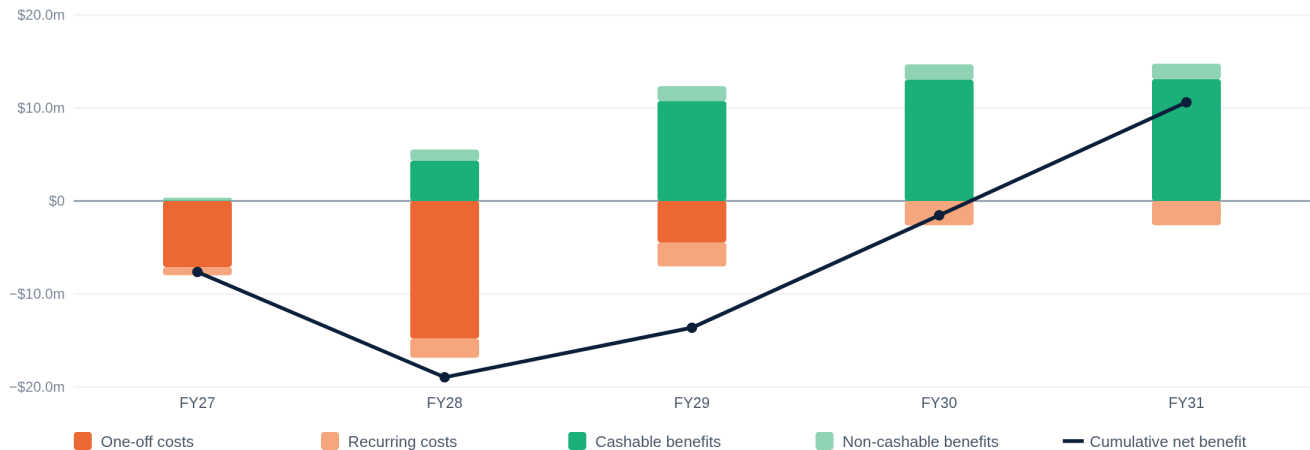
Category	Requirements	Must have	Complete
Funding & finance	2	2	0
Policy & compliance	2	2	0

Change management requirements

Stakeholder group	People	Processes	Systems & tools	Roles & responsibilities	Skills & capabilities	Organisation structure	Location & ways of working	Culture & behaviours	Performance measures	Impact	Readiness	Barrier
Contact centre and billing staff	130	H	H	M	H	L	H	M	M	19	2.6	Desire
Field crews and depot staff	420	H	H	L	M	L	–	M	M	14	2.2	Awareness
Treatment plant operators	140	L	L	–	L	–	–	L	L	5	3.0	Awareness
Asset planners and engineers	110	M	H	M	M	L	–	M	M	14	3.0	Knowledge
Corporate services staff	140	H	M	H	M	H	M	M	M	19	2.2	Awareness
Technology & Digital staff	125	M	H	M	H	M	–	M	M	16	2.8	Desire
People leaders (team leaders and managers)	146	M	M	H	M	H	L	H	H	19	2.0	Awareness
Executive leadership team	9	L	L	M	L	M	–	H	M	12	3.2	Knowledge
Capital delivery teams	114	M	L	L	L	L	–	L	L	8	3.0	Awareness
Customers	62,000	M	H	–	L	–	–	–	–	6	2.6	Awareness

Business case: benefits and costs

TOTAL COST \$37.1m	TOTAL BENEFIT \$47.7m	NPV \$5.2m 7%	ROI / BCR 29% BCR 1.16	PAYBACK 4.1 yrs IRR 18.6%
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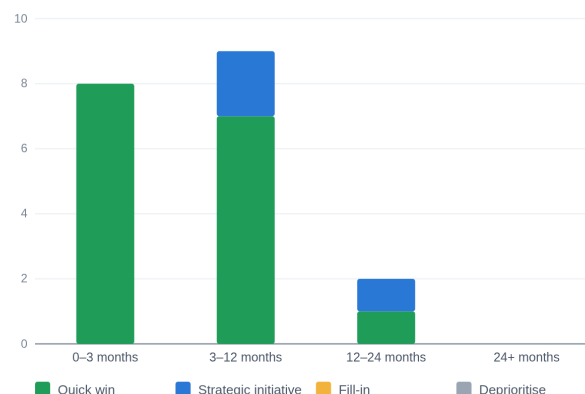
	FY27	FY28	FY29	FY30	FY31	Total
Costs	\$8.0m	\$16.9m	\$7.0m	\$2.6m	\$2.6m	\$37.1m
Benefits	\$358k	\$5.5m	\$12.4m	\$14.7m	\$14.8m	\$47.7m
Net	-\$7.6m	-\$11.3m	\$5.3m	\$12.1m	\$12.2m	\$10.6m
Cumulative	-\$7.6m	-\$19.0m	-\$13.6m	-\$1.5m	\$10.6m	

Initiatives and solution components

ID	Initiative	Type	Owner	Status	Cost	Benefit	NPV	Payback
I01	Corporate Shared Services Centre	Organisation design	Chief Financial Officer	Approved	\$2.9m	\$10.0m	\$5.2m	2.5y
I02	Customer platform & digital self-service	Technology	Chief Information Officer	Proposed	\$17.9m	\$8.7m	-\$8.7m	—
I03	Asset data & field mobility	Technology	GM Asset Management	Approved	\$3.3m	\$10.0m	\$4.8m	2.6y
I04	Data governance & platform	Solution component	Chief Information Officer	In delivery	\$3.4m	\$663k	-\$2.3m	—
I05	AI productivity program	AI use case	Chief Information Officer	Approved	\$3.0m	\$4.5m	\$971k	3.1y
I06	Governance & decision rights reset	Business change	Managing Director	In delivery	\$100k	\$576k	\$372k	1.3y
I07	Spans & layers restructure	Organisation design	Chief People Officer	Proposed	\$2.3m	\$7.8m	\$4.1m	2.6y
I08	Workplace consolidation	Business change	Chief Financial Officer	Proposed	\$2.2m	\$3.7m	\$912k	3.8y
I09	Portfolio & change office	Business change	Managing Director	In delivery	\$1.9m	\$1.9m	-\$98k	—

Assumptions: benefits are risk-adjusted by their confidence rating; non-cashable benefits are included; non-financial benefits are tracked but excluded from NPV; end-of-year discounting at 7%.

Recommendations and roadmap



0–3 months (8)

ID	Dimension	Recommendation	Benefits	Category	Owner	Cost
R002	Governance	Implement a RAPID decision rights model for the 20 key decisions, with a single decider for maintenance prioritisation.	Faster, clearer decisions; less reactive maintenance	Quick win	Managing Director	\$60k
R007	Data	Establish data governance: data owners and stewards, critical data elements and quality measures.	Trusted data for decisions, regulation and AI	Quick win	Chief Information Officer	\$180k
R001	Governance	Refresh delegations of authority to align with the structure and risk appetite, devolving investment decisions below \$250k to divisional heads.	Faster minor change; executive time refocused on strategy	Quick win	Chief Financial Officer	\$40k
R013	People	Develop a strategic workforce plan with succession for critical operational roles.	Operational continuity	Quick win	Chief People Officer	\$120k
R015	Suppliers	Develop and test an exit plan for the managed IT services contract ahead of renegotiation.	Resilience; negotiation leverage	Quick win	Chief Information Officer	\$90k
R019	Technology	Approve an AI policy, provide an enterprise generative AI assistant and launch AI literacy training.	Productivity; reduced shadow AI risk	Quick win	Chief Information Officer	\$420k
R010	Customers & Channels	Retire the legacy complaints database and implement root-cause analysis in CRM.	Fewer repeat complaints	Quick win	GM Customer & Community	\$60k
R018	Change	Establish strategic portfolio management with capacity-based prioritisation and a benefits framework.	Fewer, better-delivered projects; benefits realised	Quick win	Managing Director	\$350k

3–12 months (9)

ID	Dimension	Recommendation	Benefits	Category	Owner	Cost
R008	Data	Remediate asset data and deploy field mobility so data is captured once at source.	Condition-based investment; predictive maintenance	Quick win	GM Asset Management	\$2.6m
R017	Risk & Compliance	Uplift Essential Eight to maturity level 2 and map critical operations with impact tolerances.	Reduced cyber and resilience risk	Quick win	Chief Information Officer	\$1.6m
R006	Technology	Implement an integration platform and API standards; retire point-to-point interfaces progressively.	Lower change cost; reuse	Quick win	Chief Information Officer	\$1.2m
R009	Customers & Channels	Define a channel strategy and expand digital self-service for the top ten contact reasons.	Contact volumes down 25%; better customer experience	Quick win	GM Customer & Community	\$850k

ID	Dimension	Recommendation	Benefits	Category	Owner	Cost
R011	Processes	Appoint end-to-end process owners and standardise work management across depots.	Productivity and data quality improvements	Quick win	GM Network Operations	\$320k
R012	Processes	Automate billing exception handling with intelligent automation.	Releases about 7 FTE; fewer errors	Quick win	GM Customer & Community	\$280k
R014	Performance	Implement a balanced KPI framework and automated reporting platform.	Monthly pack in two days; better decisions	Quick win	Chief Financial Officer	\$540k
R004	Structure	Establish a Shared Services Centre for transactional finance, HR and procurement.	Removes duplicated effort (about 46 FTE); consistent data	Strategic initiative	Chief Financial Officer	\$1.9m
R003	Structure	Restructure to lean spans and layers (maximum five layers below the MD; spans within benchmark).	Management cost savings of about \$3m a year; faster decisions	Strategic initiative	Chief People Officer	\$450k

12–24 months (2)

ID	Dimension	Recommendation	Benefits	Category	Owner	Cost
R016	Locations	Consolidate head office space and relocate the contact centre into head office.	Property savings of about \$1.1m a year	Quick win	Chief Financial Officer	\$1.4m
R005	Technology	Replace the customer information and billing system with a SaaS platform integrated with CRM and the customer portal.	Digital self-service; retire legacy risk; lower support cost	Strategic initiative	Chief Information Officer	\$14.5m

Implementation, change and risk

Initiative roadmap

ID	Initiative	Start	End	Status	Owner
I01	Corporate Shared Services Centre	28 Nov 2026	22 Mar 2028	Approved	Chief Financial Officer
I02	Customer platform & digital self-service	27 Jan 2027	17 Mar 2029	Proposed	Chief Information Officer
I03	Asset data & field mobility	29 Oct 2026	21 Apr 2028	Approved	GM Asset Management
I04	Data governance & platform	29 Sep 2026	22 Jan 2028	In delivery	Chief Information Officer
I05	AI productivity program	29 Oct 2026	21 May 2028	Approved	Chief Information Officer
I06	Governance & decision rights reset	29 Sep 2026	26 Feb 2027	In delivery	Managing Director
I07	Spans & layers restructure	28 Dec 2026	23 Dec 2027	Proposed	Chief People Officer
I08	Workplace consolidation	24 Sep 2027	17 Mar 2029	Proposed	Chief Financial Officer
I09	Portfolio & change office	29 Sep 2026	24 Sep 2027	In delivery	Managing Director

Implementation requirements

ID	Category	Requirement	Priority	Horizon	Owner	Status
IR001	Organisation & roles	Detailed design of the Shared Services Centre: service catalogue, roles, SLAs and location	Must have	0–3 months	Chief Financial Officer	In progress
IR002	People & skills	Consultation plan and change proposal under the enterprise agreement	Must have	0–3 months	Chief People Officer	Not started
IR003	Organisation & roles	Role descriptions and capability profiles for new and changed roles (about 180 roles)	Must have	3–12 months	Chief People Officer	Not started
IR004	Governance & decision rights	Updated delegations of authority configured in the ERP workflow	Must have	0–3 months	Chief Financial Officer	In progress
IR005	Governance & decision rights	RAPID decision rights agreed by the executive for the 21 key decisions	Must have	0–3 months	Managing Director	In progress
IR006	Technology & applications	Integration platform and API standards before customer platform build	Must have	3–12 months	Chief Information Officer	Not started
IR007	Technology & applications	Cloud landing zone with security controls for SaaS and data platform	Must have	0–3 months	Chief Information Officer	In progress
IR008	Data & information	Data owners and stewards appointed for customer, asset, finance and people domains	Must have	0–3 months	Chief Information Officer	In progress
IR009	Data & information	Customer data cleansing and migration strategy	Must have	3–12 months	GM Customer & Community	Not started
IR010	Data & information	Asset condition data standard and field capture rules	Must have	0–3 months	GM Asset Management	In progress
IR011	Process	Standard work management process across three depots	Must have	3–12 months	GM Network Operations	Not started
IR012	Process	Redesigned customer journeys for the top ten contact reasons	Should have	3–12 months	GM Customer & Community	Not started
IR013	People & skills	AI literacy training for all staff; specialist training for the Data & AI CoE	Must have	0–3 months	Chief People Officer	Not started
IR014	People & skills	Strategic workforce plan and succession for critical operational roles	Should have	0–3 months	Chief People Officer	In progress
IR015	Policy & compliance	AI policy, acceptable-use standard and AI impact assessment process	Must have	0–3 months	Chief Risk Officer	In progress
IR016	Policy & compliance	Privacy impact assessments for customer platform and AI assistant	Must have	0–3 months	Chief Risk Officer	Not started

ID	Category	Requirement	Priority	Horizon	Owner	Status
IR017	Facilities & locations	Head office fit-out design for consolidated hybrid workplace and contact centre	Should have	12–24 months	Chief Financial Officer	Not started
IR018	Suppliers & partners	Tested exit plan for the managed IT services contract	Must have	0–3 months	Chief Information Officer	Not started
IR019	Suppliers & partners	Implementation partner for the customer platform (open tender)	Must have	3–12 months	Procurement Manager	Not started
IR020	Funding & finance	Board approval of the TOM business case and funding envelope	Must have	0–3 months	Chief Financial Officer	Not started
IR021	Funding & finance	Benefits baselines and owners for every initiative	Must have	0–3 months	Chief Financial Officer	In progress
IR022	Governance & decision rights	Transformation governance: steering committee, design authority and portfolio office	Must have	0–3 months	Managing Director	In progress
IR023	Data & information	Balanced KPI framework and automated executive dashboard	Should have	3–12 months	Chief Financial Officer	Not started
IR024	Process	Vulnerable customer identification and support process	Should have	3–12 months	GM Customer & Community	Not started

Change management plan

Activity	Type	Audience	Timing	Owner	Status
Managing Director case-for-change roadshow at every site	Sponsorship	All staff	0–3 months	Managing Director	Complete
Leader briefing packs and FAQs for each wave	Communication	People leaders	0–3 months	Change lead	In progress
Change champion network (one per team)	Engagement	All staff	0–3 months	Change lead	In progress
Union and staff consultation forums	Engagement	Affected staff	0–3 months	Chief People Officer	Planned
Leading through change program for people leaders	Coaching	People leaders	3–12 months	Chief People Officer	Planned
Customer platform role-based training and sandbox	Training	Contact centre and billing staff	12–24 months	Change lead	Planned
Field mobility training, super-users and floor-walkers	Training	Field crews and depot staff	3–12 months	GM Network Operations	Planned
AI literacy and safe-use training	Training	All staff	0–3 months	Chief People Officer	Planned
Shared services service catalogue launch and customer forum	Communication	All managers	3–12 months	Chief Financial Officer	Planned
Resistance management plans for high-impact groups	Resistance management	Corporate services; people leaders	3–12 months	Change lead	Planned
Adoption dashboards and recognition of early adopters	Reinforcement	All staff	3–12 months	Change lead	Planned
Customer communications on new digital services	Communication	Customers	12–24 months	GM Customer & Community	Planned

ADKAR interventions

Element	Groups at this barrier	Interventions
Awareness	Field crews and depot staff, Treatment plant operators, Corporate services staff, People leaders (team leaders and managers), Capital delivery teams, Customers	Sponsor-led case for change; leader briefings and town halls; explain what is changing and why now.
Desire	Contact centre and billing staff, Technology & Digital staff	Equip managers as change leaders; address "what's in it for me"; involve staff in design; manage resistance early.
Knowledge	Asset planners and engineers, Executive leadership team	Role-based training; job aids and process

Element	Groups at this barrier	Interventions
		walk-throughs; clear guidance on new decision rights.
Ability	—	Coaching, practice environments, super-users and floor-walkers; time to build proficiency.
Reinforcement	—	Recognition, measures and consequences aligned to new ways of working; retire old processes and systems.

Risk register

ID	Risk	Stage	LxI	Rating	Mitigation	Residual	Owner
RK01	Industrial relations dispute during restructure consultation	Transition	16	High	Early union engagement; transparent consultation; no forced redundancies commitment	6	Chief People Officer
RK02	Customer platform delivery overruns time and budget	Transition	20	Extreme	Configure not customise; independent assurance; staged migration; contingency	12	Chief Information Officer
RK03	Loss of key knowledge during delayering	Transition	12	High	Knowledge capture; succession plans; retention arrangements for critical roles	6	Chief People Officer
RK04	Service disruption during shared services transition	Transition	12	High	Parallel run; hypercare; service catalogue and SLAs agreed before cutover	4	Chief Financial Officer
RK05	Change saturation in operational teams	Transition	12	High	Portfolio sequencing against change capacity; change heat map; stop low-value projects	6	Managing Director
RK06	AI assistant exposes confidential information	Target state	15	High	AI policy; data classification; tenant-restricted AI; DLP; privacy impact assessment	4	Chief Information Officer
RK07	Benefits overstated or not tracked	Target state	12	High	Benefits framework; baselines; owners; quarterly tracking	4	Chief Financial Officer
RK08	Asset data remediation takes longer than planned	Transition	12	High	Prioritise critical assets; capture data through field mobility	6	GM Asset Management
RK09	Cyber incident during system transition	Transition	15	High	Security by design; Essential Eight uplift; penetration testing before go-live	8	Chief Information Officer
RK10	Digital channels exclude vulnerable customers	Target state	8	Medium	Assisted channels retained; accessibility (WCAG 2.2) and inclusion testing	3	GM Customer & Community
RK11	Shared services does not meet business expectations	Target state	9	Medium	Service catalogue, SLAs and customer forums; governance of shadow roles	4	Chief Financial Officer
RK12	Managed IT provider disputes exit arrangements	Transition	12	High	Negotiate exit plan into renewal; knowledge transfer obligations	6	Chief Information Officer

Appendix A: Detailed assessment scores

D01 Strategy & Direction

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D01.01	Purpose & vision	Is there a clearly articulated purpose, vision and mission that is understood across the organisation?	2	2	4	Red	2030 strategy is well articulated but objectives are not prioritised and trade-offs are implicit.
D01.02	Strategic objectives	Are strategic objectives specific, measurable and time-bound, with clear priorities and trade-offs?	3	2	4	Red	Business unit plans reference the strategy but do not trace objectives to budgets or the project portfolio.
D01.03	Strategic choices	Has the organisation made explicit choices about where it operates, whom it serves and how it creates value?	3	2	4	Red	
D01.04	External environment	Does the strategy reflect a current understanding of the external environment (market, regulatory, technology, economic, social)?	2	4	4	Green	
D01.05	Design principles	Are there agreed operating model design principles that guide how the organisation is structured and operates?	2	3	4	Amber	
D01.06	Strategy to execution	Is there a clear line of sight from strategy to portfolios, business plans, budgets and individual objectives?	3	2	4	Red	
D01.07	Strategy communication	How effectively is the strategy communicated to, and understood by, staff, partners and other stakeholders?	2	3	3	Green	
D01.08	Strategy review	Is progress against the strategy reviewed regularly and the strategy adjusted in response to performance and change?	2	3	4	Amber	
D01.09	Sustainability & ESG	Are sustainability, ESG and social-licence considerations embedded in the strategy?	3	2	4	Red	

D02 Customers, Channels & Value Proposition

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D02.01	Customer segments	Are customer or stakeholder segments clearly defined, with an understanding of their needs and value?	2	3	4	Amber	
D02.02	Value proposition	Is the value proposition for each segment clearly articulated and differentiated?	2	1	3	Red	No agreed customer segmentation beyond residential / non-residential; vulnerable customers are not identified consistently.
D02.03	Customer journeys	Have the key end-to-end customer journeys been mapped, including pain points and moments that matter?	3	2	3	Amber	
D02.04	Channel strategy	Is there a deliberate channel strategy (digital, phone, face-to-face, partner) aligned to customer needs and cost to serve?	3	3	4	Amber	
D02.05	Omnichannel consistency	Do customers receive a consistent experience and consistent information across channels?	1	2	4	Red	
D02.06	Voice of customer	Are customer feedback, complaints and satisfaction systematically captured, analysed and acted upon?	2	3	4	Amber	
D02.07	Service standards	Are customer service standards and commitments defined, published and measured?	3	3	4	Amber	Complaints data is captured in two systems and not analysed for root causes.
D02.08	Customer insight	Does the organisation use customer data and insight to design and improve services?	3	2	4	Red	
D02.09	Accessibility & inclusion	Are services accessible and inclusive for all customer groups, including customers experiencing vulnerability?	3	3	4	Amber	Digital self-service is limited to bill payment; 71% of contacts are by phone.

D03 Products & Services

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D03.01	Service catalogue	Is there a complete, current catalogue of the products and services the organisation delivers (external and internal)?	3	3	3	Green	
D03.02	Portfolio performance	Is the performance, value or profitability of each product or service known?	2	2	3	Amber	The service catalogue is incomplete for trade waste and recycled water services.
D03.03	Product ownership	Does every product or service have an accountable owner with end-to-end responsibility?	2	3	3	Green	
D03.04	Lifecycle management	Is there a defined lifecycle process for designing, launching, changing and retiring products and services?	3	3	3	Green	
D03.05	Portfolio complexity	Is portfolio complexity actively managed (e.g. overlapping, legacy or low-value products rationalised)?	2	3	3	Green	
D03.06	Innovation pipeline	Is there a pipeline of new or improved products and services linked to strategy and customer insight?	2	3	3	Green	
D03.07	Pricing & funding	Are pricing, fees or funding arrangements for services understood, justified and reviewed?	3	2	2	Green	
D03.08	Product obligations	Are product-related regulatory obligations (e.g. consumer law, design and distribution) identified and met?	2	N/A			

D04 Value Streams & Processes

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D04.01	Value streams	Have the organisation's end-to-end value streams been identified (e.g. request-to-resolve, procure-to-pay, hire-to-retain)?	3	1	4	Red	Work order processes differ across the three depots with no end-to-end owner.
D04.02	Process architecture	Is there a structured process architecture (Level 0 to Level 3) covering core and supporting processes?	2	1	4	Red	High-volume billing exceptions are handled manually (approx. 4,000 per month).
D04.03	Process ownership	Do end-to-end processes have accountable owners with authority across organisational boundaries?	2	2	3	Amber	Hand-offs between Asset Management, Network Operations and Capital Delivery average six per maintenance job.
D04.04	Documentation	Are key processes documented, current and accessible to the people who perform them?	1	1	4	Red	
D04.05	Standardisation	Are processes standardised across business units and locations where there is no reason for variation?	2	1	4	Red	
D04.06	Efficiency & waste	Are processes efficient, with minimal rework, hand-offs, delays and manual workarounds?	1	1	4	Red	
D04.07	Automation	What level of automation is applied, and are automation opportunities (including RPA and AI) identified and prioritised?	2	2	4	Red	
D04.08	Process performance	Are process KPIs (volume, cycle time, cost, quality, compliance) defined and monitored?	2	3	4	Amber	
D04.09	Hand-offs & interfaces	Are hand-offs between teams, functions and third parties clearly defined and managed?	2	2	4	Red	
D04.10	Embedded controls	Are key risk and compliance controls embedded in processes rather than applied after the fact?	2	1	3	Red	

D05 Business Capabilities

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D05.01	Capability map	Does the organisation have a current business capability map describing what it does, independent of how?	2	1	3	Red	
D05.02	Strategic	Have capabilities been classified by strategic	2	1	2	Amber	A capability map was drafted in

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
	importance	importance and differentiation (differentiating vs commodity)?					2023 but is not used for investment decisions.
D05.03	Capability maturity	Has capability maturity been assessed across people, process, technology and information?	2	3	3	Green	
D05.04	Capability ownership	Is there a named owner for each capability, accountable for its performance and uplift?	1	2	3	Amber	
D05.05	Investment alignment	Is investment directed to the capabilities that matter most to the strategy?	3	2	3	Amber	Asset investment planning and data analytics capabilities are critical and immature.
D05.06	Capability gaps	Are gaps between current and required capabilities identified, with plans to close them?	2	2	3	Amber	
D05.07	Capability duplication	Are capabilities duplicated across business units, and is any duplication deliberate?	1	2	3	Amber	
D05.08	Capability sourcing	Is there a deliberate decision on which capabilities are delivered in-house, shared, outsourced or partnered?	3	2	3	Amber	

D06 Organisation Structure & Roles

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D06.01	Structural archetype	Is the organisational structure (functional, divisional, matrix, product / platform, network) aligned to the strategy and design principles?	2	2	3	Amber	
D06.02	Spans of control	Are spans of control appropriate for the nature of the work?	1	2	3	Amber	
D06.03	Layers	Is the number of management layers appropriate for the organisation's size and complexity?	3	2	3	Amber	Average span of control is 8.1 overall; operational units sit below the 11-15 benchmark for operational work.
D06.04	Centralisation vs devolution	Is there a clear, deliberate balance between centralised, shared and devolved functions?	3	3	3	Green	Network Operations has seven management layers, exceeding the agreed maximum of six.
D06.05	Shared services & CoEs	Are shared services and centres of excellence used where they add value, with clear service agreements?	2	1	3	Red	Finance, HR and procurement roles are duplicated in every division (about 46 FTE).
D06.06	Role clarity	Are roles, accountabilities and responsibilities clearly defined and understood?	3	3	3	Green	
D06.07	Duplication & shadow functions	Is there duplication of roles or activities across units (e.g. shadow finance, HR or IT teams)?	2	3	3	Green	
D06.08	Interfaces & collaboration	Are interfaces between organisational units clearly defined, with effective mechanisms for cross-unit work?	2	2	2	Green	
D06.09	Structural agility	Can the structure adapt quickly to changing priorities (e.g. through cross-functional or agile teams)?	2	2	3	Amber	

D07 Governance & Decision Rights

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D07.01	Governance framework	Is there a documented governance framework showing the governing bodies and committees and how they relate?	3	1	4	Red	
D07.02	Committee effectiveness	Do governance forums have clear terms of reference, the right membership and effective agendas?	2	2	3	Amber	Seven executive-level committees with overlapping terms of reference.
D07.03	Delegations of authority	Are financial and non-financial delegations documented, current and understood?	2	2	3	Amber	Delegations of authority have not been updated since the 2021 restructure.
D07.04	Decision rights	Is it clear who recommends, agrees, decides and provides input on key decisions?	2	3	3	Green	
D07.05	Decision speed	Are decisions made in a timely way, without	2	1	3	Red	Maintenance prioritisation decisions

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
		excessive escalation or duplication of forums?					have no single decider between Asset Management and Network Operations.
D07.06	Policy framework	Is there a structured policy framework with ownership, review cycles and alignment to obligations?	2	2	4	Red	
D07.07	Board & executive oversight	Does the board and executive receive timely, decision-useful information on performance, risk and change?	3	1	4	Red	
D07.08	Three lines	Are roles across the three lines (management, risk and compliance oversight, independent assurance) clear and effective?	3	2	4	Red	
D07.09	Transparency & accountability	Are decisions, rationale and accountabilities recorded and traceable?	2	1	4	Red	

D08 People, Workforce & Skills

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D08.01	Workforce planning	Is there a strategic workforce plan linking future capability needs to the strategy?	2	3	3	Green	No strategic workforce plan; 31% of the operational workforce is eligible to retire within 10 years.
D08.02	Workforce mix	Is the workforce mix (permanent, fixed-term, contractor, outsourced, offshore) deliberate and cost-effective?	2	3	3	Green	Critical roles (treatment operators, SCADA engineers) lack succession cover.
D08.03	Capacity & demand	Is workforce capacity matched to demand, with visibility of utilisation and backlogs?	2	3	3	Green	
D08.04	Skills & capability	Are current skills known, and are gaps against future needs identified?	1	2	3	Amber	
D08.05	Critical roles & succession	Are critical roles and key-person dependencies identified, with succession plans?	2	3	3	Green	
D08.06	Attraction & retention	Can the organisation attract and retain the talent it needs?	2	3	3	Green	
D08.07	Performance & development	Is there an effective performance and development framework linked to objectives and behaviours?	1	2	3	Amber	
D08.08	Reward & recognition	Do reward and recognition mechanisms reinforce the desired outcomes and behaviours?	2	2	3	Amber	
D08.09	WHS & wellbeing	Are work health and safety risks, including psychosocial hazards, managed effectively?	3	2	2	Green	
D08.10	Employee engagement	Is employee engagement measured and acted upon?	2	2	3	Amber	

D09 Culture, Leadership & Behaviours

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D09.01	Values & behaviours	Are organisational values defined and translated into observable behaviours?	1	2	2	Green	
D09.02	Culture diagnosis	Has the current culture been diagnosed and compared with the culture needed to deliver the strategy?	3	3	3	Green	
D09.03	Leadership capability	Do leaders have the capability to lead through change and deliver the strategy?	2	2	3	Amber	
D09.04	Accountability	Do people take ownership of outcomes, and are they held to account constructively?	2	2	3	Amber	Strong safety culture and pride in service; collaboration across divisions is weak.
D09.05	Collaboration	Is there effective collaboration across teams and functions, or are silos evident?	2	2	3	Amber	Engagement survey shows low confidence in leadership communication of change (41% favourable).
D09.06	Customer centricity	Do staff make decisions with the customer or beneficiary outcome in mind?	2	2	2	Green	

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D09.07	Psychological safety	Do staff feel safe to raise concerns, challenge ideas and report issues?	3	2	2	Green	
D09.08	Risk culture	Is there a healthy risk culture in which risks are identified, escalated and managed openly?	3	3	3	Green	
D09.09	Change readiness	How ready and able is the organisation to adopt change?	1	2	3	Amber	

D10 Performance Management & Planning

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D10.01	Planning cycle	Is there an integrated planning cycle linking strategic, business, workforce and financial planning?	3	1	3	Red	KPIs are predominantly regulatory and financial; customer and efficiency measures are limited.
D10.02	KPI framework	Is there a balanced set of KPIs (financial, customer, process, people, risk) aligned to the strategy?	2	3	4	Amber	Monthly reporting takes eight working days to compile manually from spreadsheets.
D10.03	Cascade & line of sight	Do KPIs and objectives cascade from enterprise to business unit, team and individual levels?	2	2	4	Red	
D10.04	Management reporting	Is management reporting timely, accurate, insightful and trusted?	1	2	3	Amber	
D10.05	Performance forums	Are there regular forums where performance is reviewed and actions agreed?	3	2	4	Red	
D10.06	Target setting	Are targets stretching yet achievable, and based on evidence and benchmarks?	3	1	4	Red	
D10.07	Incentive alignment	Are performance measures aligned with incentives and consequences?	2	2	4	Red	
D10.08	Performance data	Is performance data reliable, with clear definitions and data ownership?	2	3	4	Amber	
D10.09	External reporting	Are external and regulatory performance reporting obligations met efficiently?	3	3	4	Amber	

D11 Technology & Applications

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D11.01	Technology strategy	Is there a technology strategy aligned to the business strategy and target operating model?	2	3	4	Amber	Customer information and billing system is 19 years old and out of vendor support in 2027.
D11.02	Enterprise architecture	Is there an enterprise architecture function with current and target state architectures and standards?	2	2	4	Red	
D11.03	Application portfolio	Is the application portfolio documented with ownership, cost, business fit and technical health?	2	2	4	Red	Integration is point to point (140+ interfaces) with no integration platform.
D11.04	Technical debt	Is technical debt (legacy, unsupported or end-of-life systems) known and managed?	3	2	4	Red	
D11.05	Infrastructure & cloud	Is the hosting model (on-premises, cloud, hybrid) fit for purpose, secure and cost-effective?	2	3	4	Amber	
D11.06	Integration	Are systems integrated effectively, minimising manual re-keying and point-to-point interfaces?	3	2	4	Red	
D11.07	IT operating model	Is the IT operating model (plan-build-run, product teams, sourcing) clear and effective?	3	2	4	Red	
D11.08	IT service management	Are IT services managed to agreed levels using recognised practices (e.g. ITIL 4)?	2	3	3	Green	Staff are using consumer generative AI tools without an approved enterprise alternative.
D11.09	Digital, automation & AI	Is the organisation using digital, automation and AI capabilities to improve services and efficiency, with appropriate governance?	2	2	4	Red	
D11.10	Technology investment	Is technology spend visible, benchmarked and aligned to business value?	2	2	4	Red	

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D11.11	End-user technology	Do staff have the tools and devices they need to work effectively, including in hybrid settings?	3	2	4	Red	

D12 Data, Information & Analytics

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D12.01	Data strategy	Is there a data strategy that treats data as an asset and supports business priorities?	3	2	4	Red	
D12.02	Data governance	Is there a data governance framework with defined owners, stewards and decision forums?	3	1	3	Red	Asset register completeness is estimated at 72%; condition data is unreliable for pipes under 150mm.
D12.03	Data quality	Is data quality measured and managed for critical data elements?	2	1	4	Red	
D12.04	Master & reference data	Is master data (customer, product, supplier, employee) managed as a single source of truth?	1	1	4	Red	
D12.05	Analytics & insight	Does the organisation have the analytics capability to generate insight for decisions?	2	1	4	Red	
D12.06	Records management	Are information and records managed in line with legislative and business requirements?	3	1	4	Red	
D12.07	Privacy	Is personal information handled in line with privacy obligations (e.g. Privacy Act 1988 and the APPs)?	3	1	4	Red	No data owners have been appointed; three versions of the customer count are reported.
D12.08	Classification & protection	Is data classified and protected according to its sensitivity?	2	2	4	Red	Data is not ready for predictive maintenance or AI use cases.
D12.09	AI & data readiness	Is data of sufficient quality, accessibility and governance to support AI and advanced analytics?	3	1	4	Red	

D13 Suppliers, Partners & Sourcing

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D13.01	Sourcing strategy	Is there a sourcing strategy defining what is performed in-house, outsourced or delivered through partners?	2	2	3	Amber	Managed IT services contract (single source) has no tested exit plan.
D13.02	Supplier register	Is there a complete register of suppliers with spend, services, criticality and contract details?	2	3	3	Green	Civil maintenance panel performance is not measured against service levels.
D13.03	Contract management	Are contracts actively managed, with clear obligations, performance measures and renewal dates?	2	2	3	Amber	
D13.04	Supplier performance	Is supplier performance measured and managed through regular reviews?	2	3	3	Green	
D13.05	Concentration & dependency	Are dependencies on critical or single-source suppliers (including fourth parties) understood and mitigated?	3	2	3	Amber	
D13.06	Procurement process	Is the procurement process efficient, compliant and value-driven?	2	2	3	Amber	
D13.07	Partnerships & ecosystem	Are partnerships and ecosystem relationships used effectively to deliver the value proposition?	2	3	3	Green	
D13.08	Third-party security & privacy	Are third-party security, privacy and compliance risks assessed before and during engagement?	2	2	3	Amber	

D14 Locations & Physical Assets

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D14.01	Location footprint	Is the location footprint (offices, sites, service centres) aligned to customers, talent and cost?	1	4	4	Green	Head office utilisation averages 48% since hybrid work was introduced.
D14.02	Workplace model	Is there a deliberate workplace model (e.g. hybrid, activity-based working) supported by policy and technology?	2	3	3	Green	Southern depot lease expires within 12 months with no decision on renewal.

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D14.03	Space utilisation	Is space utilisation measured and optimised?	3	4	4	Green	
D14.04	Property costs & leases	Are property costs and lease commitments understood and managed in line with strategy?	3	4	4	Green	
D14.05	Site resilience	Are critical sites resilient, with business continuity arrangements for site loss?	2	3	3	Green	
D14.06	Physical assets	Are physical assets (equipment, fleet, infrastructure) managed across their lifecycle?	3	4	4	Green	
D14.07	Physical security	Are physical security controls appropriate to the sensitivity of people, information and assets on each site?	3	3	3	Green	
D14.08	Environmental footprint	Is the environmental impact of locations and assets measured and managed?	3	N/A			

D15 Risk, Compliance, Security & Resilience

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D15.01	Risk management framework	Is there an enterprise risk management framework aligned to a recognised standard (e.g. ISO 31000)?	2	2	4	Red	Risk framework is sound; operational risk registers are updated inconsistently.
D15.02	Risk appetite	Is risk appetite defined, measurable and used in decision making?	2	2	4	Red	
D15.03	Risk registers	Are strategic, operational and project risks identified, assessed and actively managed?	2	2	4	Red	
D15.04	Obligations register	Is there a complete register of legal, regulatory and contractual obligations mapped to owners and controls?	2	3	4	Amber	
D15.05	Compliance management	Is compliance monitored, tested and reported, with breaches managed and remediated?	3	2	3	Amber	Essential Eight maturity is level 1 for most strategies against a target of level 2.
D15.06	Control environment	Are key controls documented, owned and tested for design and operating effectiveness?	3	3	4	Amber	Critical operations have not been mapped with impact tolerances.
D15.07	Cyber security	Is cyber security maturity appropriate for the threat environment (e.g. Essential Eight, ISO/IEC 27001, NIST CSF)?	1	2	3	Amber	
D15.08	Business continuity & resilience	Can the organisation continue critical operations through disruption (e.g. ISO 22301; APRA CPS 230 where applicable)?	1	3	3	Green	
D15.09	Incident management	Are operational incidents and near misses captured, investigated and learned from?	2	3	3	Green	
D15.10	Internal audit & assurance	Is independent assurance risk-based, and are audit findings remediated on time?	2	2	4	Red	
D15.11	Fraud & integrity	Are fraud, corruption and integrity risks managed?	3	4	4	Green	
D15.12	ESG & climate risk	Are climate-related and other ESG risks identified, managed and disclosed as required (e.g. AASB S2)?	2	3	3	Green	

D16 Finance, Funding & Cost Model

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D16.01	Cost baseline	Is the cost base understood by business unit, capability, process and cost type?	3	3	3	Green	Costs are reported by cost centre only; cost-to-serve by customer segment is unknown.
D16.02	Cost-to-serve	Is the cost to serve customers, products and channels known?	2	3	3	Green	
D16.03	Cost structure	Is the cost structure (fixed vs variable; people vs non-people) appropriate and benchmarked?	3	3	3	Green	
D16.04	Budgeting & forecasting	Is budgeting and forecasting timely, accurate and linked to strategy and performance?	2	3	3	Green	
D16.05	Funding model	Is the funding model (e.g. project vs product	2	2	3	Amber	Budgeting is incremental and

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
		funding, appropriation, fee-for-service) aligned to how value is delivered?					business cases do not include benefits baselines.
D16.06	Cost allocation	Are shared costs allocated or charged back in a transparent and fair way?	1	3	3	Green	
D16.07	Investment governance	Are investments assessed using consistent business cases and benefits tracking?	2	2	3	Amber	
D16.08	Financial controls	Are financial controls, delegations and reporting robust?	2	2	3	Amber	
D16.09	Value for money	Does the organisation regularly assess efficiency and value for money?	2	2	2	Green	

D17 Change, Transformation & Continuous Improvement

ID	Sub-component	Question	Imp.	Cur.	Tgt.	RAG	Observations
D17.01	Portfolio management	Is there a portfolio management function that prioritises, funds and oversees change initiatives?	3	2	4	Red	
D17.02	Delivery methodology	Are delivery methods (agile, waterfall, hybrid) appropriate and consistently applied?	3	3	4	Amber	
D17.03	Delivery performance	Are initiatives delivered on time and on budget, and do they achieve the expected outcomes?	2	2	4	Red	43 concurrent projects compete for the same subject-matter experts.
D17.04	Change capacity	Is the volume of change managed against the organisation's capacity to absorb it?	2	2	4	Red	
D17.05	Change management	Is structured change management applied to drive adoption (e.g. Prosci ADKAR)?	2	2	4	Red	
D17.06	Benefits realisation	Are benefits defined, owned, tracked and realised after implementation?	2	2	4	Red	Benefits are not tracked after project close; no change management method is applied consistently.
D17.07	Business analysis	Is business analysis capability mature enough to define needs and solutions effectively (e.g. BABOK v3)?	2	3	4	Amber	
D17.08	Continuous improvement	Is there an embedded continuous improvement culture and method (e.g. Lean, Six Sigma)?	2	2	4	Red	
D17.09	Innovation	Does the organisation have mechanisms to identify, test and scale innovations?	2	2	3	Amber	
D17.10	Lessons learned	Are lessons learned captured and applied to future initiatives?	3	2	4	Red	

Appendix B: Framework and maturity scale

Level	Description
1 – Initial	Ad hoc, undocumented and person-dependent. Outcomes are unpredictable and largely reactive.
2 – Developing	Some practices are defined but applied inconsistently. Limited measurement; still largely reactive.
3 – Defined	Practices are documented, standardised and applied consistently across the organisation.
4 – Managed	Practices are measured and actively managed against targets. Decisions are data-driven.
5 – Optimised	Continuous improvement is embedded. Leading practice that adapts quickly to change.
N/A – Not applicable	Not relevant to this organisation or outside the agreed scope. Excluded from averages.

Code	Dimension	Definition	Standards & references
D01	Strategy & Direction	The organisation's purpose, strategic objectives and the explicit choices the operating model must enable.	Balanced Scorecard; PESTLE / SWOT; Playing to Win; ASX Corporate Governance Principles
D02	Customers, Channels & Value Proposition	Who the organisation serves, what value it offers each segment, and how customers access and experience its services.	Service design; NPS / CSAT / CES; WCAG 2.2; BIZBOK stakeholder mapping
D03	Products & Services	The portfolio of products and services the organisation delivers, and how that portfolio is owned, managed and evolved.	Product lifecycle management; ITIL 4 service catalogue; ASIC design and distribution obligations (where applicable)
D04	Value Streams & Processes	The end-to-end value streams and business processes through which work flows to deliver outcomes.	APQC Process Classification Framework; BPMN 2.0; Lean; Six Sigma; process mining
D05	Business Capabilities	What the organisation must be able to do (independent of how), and the maturity of those abilities across people, process, technology and information.	BIZBOK Guide; TOGAF Standard 10th Edition
D06	Organisation Structure & Roles	How people and work are grouped, the reporting lines, spans and layers, and the clarity of roles and accountabilities.	Spans and layers analysis; organisation design archetypes
D07	Governance & Decision Rights	The bodies, delegations, policies and decision rights that direct and control the organisation.	ASX Corporate Governance Principles; PGPA Act 2013 (Commonwealth entities); COBIT 2019; IIA Three Lines Model; RAPID / RACI
D08	People, Workforce & Skills	The size, mix, skills, capacity and management of the workforce needed to deliver the operating model.	Strategic workforce planning; SFIA (digital skills); Work Health and Safety Act 2011 and psychosocial hazard regulations
D09	Culture, Leadership & Behaviours	The shared values, leadership style and everyday behaviours that determine how work actually gets done.	Culture diagnostics; 360-degree feedback; risk culture assessments
D10	Performance Management & Planning	How the organisation plans, sets targets, measures performance and uses information to steer.	Balanced Scorecard; OKRs; integrated planning
D11	Technology & Applications	The applications, infrastructure, architecture and technology operating model that enable the business.	TOGAF; ITIL 4; COBIT 2019; Gartner TIME model; FinOps; Technology Business Management (TBM)
D12	Data, Information & Analytics	How data and information are governed, managed, protected and used to generate insight.	DAMA-DMBOK; Privacy Act 1988 and Australian Privacy Principles; ISO 15489 records management; ISO/IEC 42001 (AI management)
D13	Suppliers, Partners & Sourcing	The external organisations the operating model relies on, and how they are selected, contracted, managed and governed.	Kraljic matrix; ISO 44001 collaborative relationships; APRA CPS 230 (material service providers); Commonwealth Procurement Rules
D14	Locations & Physical Assets	Where work is performed, the property and physical assets used, and the workplace model.	ISO 55001 asset management; NABERS; hybrid work frameworks
D15	Risk, Compliance, Security & Resilience	How the organisation identifies and manages risk, meets its obligations, protects information and remains resilient.	ISO 31000; ISO 37301; ISO/IEC 27001; ISO 22301; ASD Essential Eight; APRA CPS 230 / CPS 234; PSPF; AASB S2
D16	Finance, Funding & Cost Model	The cost base, funding model, budgeting and financial controls that resource the operating model.	Activity-based costing; Technology Business Management (TBM); zero-based budgeting
D17	Change, Transformation & Continuous Improvement	The organisation's ability to prioritise, deliver and embed change and to improve continuously.	PRINCE2; MSP; P3O; Agile / SAFe; Prosci ADKAR; BABOK v3; Lean

Level	AI readiness level	Description
1	AI Aware	Interest in AI but no strategy, governance or foundations. Experimentation is ad hoc and unsanctioned (shadow) AI use is likely.
2	AI Exploring	Early pilots and pockets of capability. Foundations such as data, policy, platforms and skills are incomplete, so pilots rarely scale.
3	AI Operational	Strategy, policy and approved platforms are in place, with a small number of governed use cases in production.
4	AI Scaling	AI is delivered through a repeatable operating model at scale, benefits are measured and responsible AI practices are embedded.
5	AI Transforming	AI is core to how the organisation creates value, with continuous innovation and mature, trusted governance.